

According to *Fortune* magazine, that economist was the same Paul Samuelson whose bestselling textbook championed the cause of efficient markets and who had published an academic proof in support of EMH!⁸

Samuelson's 1974 paper, "Challenge to Judgment," is what inspired John Bogle of Vanguard to start the first public index fund in 1976. Afterward, Samuelson wrote the following about what some referred to as Bogle's folly, "I rank this Bogle's invention along with the invention of the wheel, the alphabet, Gutenberg printing, and wine and cheese; a mutual fund that never made Bogle rich but elevated the long-term returns of the mutual-fund owners. Something new under the sun."⁹

So here we have Samuelson inspiring the first public index fund and then praising it to the high heavens, while Warren Buffett actively manages Samuelson's own money. Maybe the wheel, the alphabet, and Gutenberg printing were not that great after all.

THE MOMENTUM ANOMALY

As more people began questioning EMH orthodoxy, an intriguing area started appearing in the academic literature. The burgeoning field of behavioral finance led some to question whether investors always acted rationally and in their own best interests. People acting in emotional and irrational ways could cause prices to depart systematically from their fundamental values in predictable ways. Maybe the markets could be beat after all, since irrational investors might allow anomalies to persist. In light of this possibility, momentum started to receive attention from the academic community beginning in the early 1990s. Behavioral factors could be used to explain many of the characteristics of momentum.

After years of momentum research by many academics, even Eugene Fama and Kenneth French, two of the founders of EMH, began paying attention to momentum, which they called the "premier anomaly."¹⁰ Momentum was powerful, persistent, and not explainable by any of the commonly known risk factors.

Not only did momentum research benefit from EMH losing its hold over modern finance, but the findings of momentum researchers added